MEMORANDUM

To: Senior Leadership, Senior Living Lending, Inc. (SLL)
From: External Counsel, Brad & Haley LLP

Re: Risk Analysis of Proposed Telemarketing and Texting Program for Seniors
Date: 11/21/2024

Introduction

Senior Living Lending, Inc. ("SLL") is evaluating whether to launch a telemarketing program that relies heavily on text-based outreach to seniors. Given SLL's focus on seniors, an especially protected demographic under consumer-protection and financial-services laws, this type of program presents substantial legal, financial, and reputational exposure. Below is an assessment of the principal risks as well as relevant case law shaping the current regulatory landscape.

Risk assessment discussion

1. High and Multilayered Regulatory Exposure

Telemarketing and texting activities are subject to overlapping requirements under the TCPA, the Telemarketing Sales Rule, state "mini-TCPA" laws, privacy statutes, and financial-services regulations. These frameworks impose strict rules on consent, disclosures, calling/texting practices, and recordkeeping.

Non-compliance may trigger:

- Statutory damages of $500–$1,500 per call/text
- Parallel investigations by federal and state agencies
- Complaints that lead to enforcement, especially where seniors are involved

Additionally, as a lender and provider of products commonly marketed to older adults (reverse mortgages, HELOCs), SLL would face enhanced scrutiny from agencies focused on elder financial protection.

2. Heightened Enforcement Risk When Targeting Seniors

Regulators treat seniors as a vulnerable group. As a result:

- Agencies (CFPB, FTC, state AGs) prioritize enforcement actions involving older adults.
- Minor errors, misworded disclosures, imperfect consent capture, or delayed opt-outs, may be characterized as deceptive, abusive, or unfair.
- Even fully compliant programs may draw complaints from seniors or their adult children.

The courts typically construe its decision on telemarketing strictly. With In *Bradley v. Dentalplans.com,* the court held that prerecorded winback calls constituted telemarketing

requiring prior express written consent. In *Bradley,* the plaintiff's voice-recorded consent was *not* valid because the defendant failed to comply with the E-SIGN Act's disclosure requirements. This is particularly instructive for SLL: oral consent will not suffice for marketing texts/calls where "written consent" is required, especially when financial products are involved. This case is instructive because it shows that courts require strict, E-SIGN-compliant written consent for telemarketing. That same strict standard is applied even more aggressively when companies market to seniors. Seniors are treated as a vulnerable group, so any consent defect becomes a bigger regulatory issue. For financial products like reverse mortgages, invalid consent can escalate into unfair or abusive-practice claims. *Bradley* highlights how easily consent can fail and how serious that failure can become when seniors are the target audience.

3. Significant Class Action Exposure

TCPA and mini-TCPA litigation remains one of the most active consumer-law class action categories. Plaintiffs' attorneys are incentivized to sue because damages are statutory and messages are easily documented. Factors that increase SLL's class action exposure include clear evidence trails from texting, high-value financial-services solicitation, large lead-generation lists, scrutiny around "express written consent". See *Bradley.*

4. **Strict Consent Requirements for Text Marketing**

Marketing texts sent via automated technology require express written consent under federal and many state laws. Key risks include:

- Accidental autodialer use if SLL's platforms have features that trigger Automatic Telephone Dialing System (ATDS) rules. The Court in *Facebook v. Duguid* although limited to ATDS exposure, it still reinforced the importance of written-consent for marketing texts. Similarly, in *Bradley,* the Court highlighted the importance of compliant written-consent processes, especially the need to meet E-SIGN Act requirements when relying on electronic signatures. Although consent law questions are unsettled *re Loudermilk v. Maelys Cosmetics USA Inc.,* written consent is still imperative for content marketing.
- Inherited liability for consent defects in purchased or third-party leads
- Long-term recordkeeping requirements for proving valid consent

5. Reputational Risk in a Senior-Serving Market

Because SLL's products directly affect the financial well-being of older adults, text-based outreach can be perceived as intrusive or predatory. Risks include:

- Damage to trust with seniors and their families
- Strained referral relationships (financial advisors, senior centers, community networks)
- Increased complaints to regulators, consumer advocates, and the media
- Long-term brand and reputational impact

6. Operational and Compliance Burdens

A compliant program requires substantial infrastructure, including:

- Consent and documentation systems
- Immediate and automated opt-out processing
- Regular scrubbing against federal/state Do-Not-Call lists (with associated subscription fees)
- State-specific calling-hour compliance
- Financial-product disclosures
- Staff training and ongoing audits

These requirements increase both implementation and ongoing costs and under-resourced compliance functions create additional risk.

7. Multi-Agency Enforcement Exposure

Depending on SLL's program design and geographic footprint, enforcement may come from:

- FCC (TCPA, autodialer rules)
- FTC (Telemarketing Sales Rule, UDAP authority)
- CFPB (financial products and elder financial exploitation)
- State Attorneys General (mini-TCPAs, consumer fraud statutes)
- State financial regulators

This overlapping jurisdiction increases the likelihood and complexity of enforcement.

Conclusion

SLL can move forward with a texting-based telemarketing strategy, but doing so presents **substantial risk** given:

- The senior demographic
- The sensitive, high-regulation nature of SLL's financial products
- Evolving litigation risk surrounding consent
- Uncertainty in the TCPA regulatory landscape following *Facebook*, *Bradley*, *McLaughlin*, and related cases

If SLL proceeds, the program must be designed with **rigorous compliance controls**, robust documentation, and senior-centric safeguards. We will continue advising on risk mitigation strategies and can assist with reviewing scripts, consent flows, vendor contracts, and program structure to ensure alignment with federal and state requirements.

Best regards,

Andrew Hart,

Partner,

Bradley & Haley LLP.